review to the factual information included in proxy voting advice,[292] allowing issuers to opt-in to the review and feedback procedures,[293] adjusting the timeline contemplated by the rule to require that proxy statements be filed a certain number of days in advance of the meeting in excess of what was proposed,[294] concurrent review by registrants and clients rather than advance review by registrants,[295] and other changes designed to make the review and feedback process more cost-effective and efficient.[296] In addition, several commenters asked for more clarification with regard to certain interpretive issues, including a more precise understanding of which persons would be subject to the rule.[297]

As an alternative to the proposed framework for review and feedback, which they viewed as too rigid and prescriptive, some commenters urged the Commission to consider a more flexible, principles-based, and less intrusive solution.[298] One commenter noted that many of the practical

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[292] *See, e.g.,* letters from Baillie Gifford; BMO; CII IV; CIRCA; Elliott I; ICI; ISS; MFA & AIMA; Ohio Public Retirement. *See also* IAC Recommendation.

[293] *See, e.g.,* letter from Glass Lewis II (asserting that this would enable proxy voting advice businesses to collect important information before the process begins, potentially reducing some of the burden on the proxy voting advice businesses).

[294] *See, e.g.,* letters from CII IV (suggesting a timeline requiring registrants to file 50 or more days prior to the annual meeting; ICI; Interfaith Center II; ISS; Christopher Gerold, President, North American Securities Administrators Association (NASAA) (Feb. 3, 2020) ("NASAA"); TIAA.

[295] *See, e.g.,* letters from AllianceBernstein; Kevin A. Beaugez (June 3, 2020) ("K. Beaugez"); BMO; James Allen, Head, and Matt Orsagh, Director, Capital Markets Policy, CFA Institute (May 13, 2020) ("CFA Institute II"); CII IV; CIRCA; ICI; MFS Investment; SES (stating that its business model is to provide its voting advice report to clients and companies simultaneously 15 days prior to the meeting, and then provide an addendum should any corrections, changes, etc. be required). *See also* IAC Recommendation. *But see* letter from Niels Holch, Executive Director, Shareholder Communications Coalition (May 1, 2020) ("SCC II") ("The Coalition strongly opposes the concurrent review recommendation.").

[296] *See, e.g.,* letters from IAA (recommending that the proposed review and feedback process be replaced with a single review of the facts); ICI (recommending that proxy voting advice businesses be permitted to provide a draft of their reports to registrants and other soliciting persons for comment while simultaneously publishing it for public review).

[297] *See, e.g.,* letters from AFL-CIO II; CII IV; Glass Lewis II; ISS.

[298] *See, e.g.,* letters from Baillie Gifford; Canadian Gov. Coal; CII IV; Glass Lewis II; ISS; Prof. Sergakis (describing the treatment of proxy voting advice businesses under the proposal as too "formalistic" and stringent" by comparison to the regulation of such businesses in different parts of the world and recommending a more flexible, principles-based system).

concerns it expressed in its letter regarding the proposed review and feedback mechanism "could be addressed by moving to a principles-based rule and using Commission or Staff guidance to ensure that the mechanisms are being administered in a fair and efficient manner."[299] Several commenters also pointed out that there already were existing mechanisms in place sufficient to address the concerns raised in the Proposing Release, including existing proxy voting advice business programs and policies for registrants to provide feedback,[300] antifraud liability under Rule 14a-9,[301] and "counter-speech" measures for registrants (such as filing additional proxy soliciting materials).[302]

b. Comments on Proposed Response to Proxy Voting Advice by Registrants and Other Soliciting Persons

A number of commenters supported the proposal as a means to improve the overall mix of

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[299] Glass Lewis II ("For example, the exemptive condition could be as concise as a requirement that proxy advisors 'maintain policies and procedures that provide registrants (and certain other soliciting persons) a meaningful opportunity to comment on proxy advice and final notice of any proxy advice,' with Staff or Commission guidance filling in the timing and other elements.").

[300] *See, e.g.,* letters from Better Markets ("Both Glass Lewis and ISS already have systems in place to allow companies to correct factual errors in their reports and recommendations 'and respond to some aspect of their proxy voting advice' before they are sent to their clients."); BMO; CII IV; Glass Lewis II; Ohio Public Retirement; Segal Marco II.

[301] *See, e.g.,* letters from AllianceBernstein; As You Sow II; Better Markets; Elliott I; ISS; Glass Lewis II; CalPERS; CII IV; New York Comptroller II; Segal Marco II; Seven Corners; Shareholder Rights II. *See also* IAC Recommendation.

[302] *See, e.g.,* letters from AllianceBernstein; As You Sow II ("Companies have the ability to make arguments in a variety of ways including in their proxies, by calling investor meetings, or sending out information to shareholders, among others. There is no reason to afford issuers yet another avenue to provide their views, especially when it is likely to dramatically interfere with what is already a time-constrained and difficult process for proxy advisory firms and shareholders"); Better Markets; CalPERS; CFA Institute I (noting that "registrants already have many opportunities to communicate with investors," including the registrant's own proxy materials and "the full array of social media avenues to reiterate and confirm their positions…"); CII IV; Elliott I; Glass Lewis II; SS; New York Comptroller II; PIAC II ("Issuers already provide their views via proxy statements and other communications from management that are easily accessible should they be needed. Giving companies the opportunity for additional participation in the recommendations of proxy advisors would detract from, rather than contribute to, the objectivity of those recommendations."); Segal Marco II; Seven Corners; Shareholder Rights II. *See also* IAC Recommendation.

information available to investors.[303] Commenters argued that registrants do not have a timely and effective method for conveying their views and assessments about proxy voting advice to clients of proxy voting advice businesses before many clients vote in reliance on such advice.[304]

Other commenters, however, opposed the proposal.[305] A number of these commenters raised concerns about costs and delays in the timely receipt of advice that they asserted would result from the proposal.[306] Many commenters asserted the proposal is unnecessary given the ability of registrants to conduct investor outreach and file supplemental proxy materials to address any concerns with the voting advice.[307] Some commenters also objected on the grounds that the

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[303] *See, e.g.,* letters from Baillie Gifford; BIO; Michele Nellenbach, Director of Strategic Initiatives, Bipartisan Policy Center (Feb. 3, 2020) ("BPC") (stating that the hyperlink is a cost-effective way to provide current information to investors), BRT; CEC ("The Commission's proposed changes ensure investors will have a full picture of the information from which they can then make an informed, proposal-specific voting decision."); CCMC; CEC; CGC; ExxonMobil ("Timely access to both of these viewpoints [in the proxy voting advice and the registrant's response to the advice] each proxy season is critical for investors to make informed decisions at minimal cost."); FedEx; GM; NAM; Nareit; Nasdaq (noting its belief that the hyperlink would improve the accuracy of proxy voting advice and the overall mix of information available to investors, especially given the lack of a requirement in the proposed rules that proxy voting advice businesses revise their recommendations based on registrant feedback); NIRI ("Shareholders will be better informed as a result of the inclusion of [the registrant's] response. Doing so will result in greater transparency in the proxy voting advice process, allowing investors to see both sides of the issue …"); SCG (asserting that "factual errors have frequently been found after the voting recommendation has been disseminated" and that "the impact of additional proxy materials can be limited"); TechNet.

[304] *See, e.g.,* letters from BRT; CEC ("The problems facing issuers and the wider market occur due to the extreme difficulty in engaging with proxy advisory firms during the proxy season and the immediate and near irrecoverable impact the issuance of the proxy report has on voting results"); Charter; ExxonMobil ("Timely access to both of these viewpoints each proxy season is critical for investors to make informed decisions at minimal cost. Our experience is that supplemental proxy materials filed with the SEC after the release of the proxy advisors' reports, which are intended to supplement such reports, are ineffective.").

[305] *See, e.g.,* letters from AFL-CIO II; CII IV; Elliott I; Glass Lewis II; ISS; Lars Dijkstra, Chief Investment Officer, and Eszter Vitorino, Senior Responsible Investment Advisor, Kempen Capital Management (Jan. 6, 2020) ("Kempen") (asserting that such requirement would be duplicative of the information already filed in company proxy statements and meeting notices, adding burden without additional value); New York Comptroller II; Ohio Public Retirement; PERA; PRI II; Public Retirement Systems; ValueEdge III.

[306] *See, e.g.,* letter from CII IV (arguing that the proposed requirement would delay the timely receipt of proxy voting advice because proxy voting advice businesses will need to coordinate timing of the filing of supplementary proxy materials with registrants and that it would increase the businesses' direct costs (*e.g.*, costs to include a hyperlink in reports), which would likely be passed on to clients and their beneficiaries).

[307] *See, e.g.,* letters from Glass Lewis II; Public Retirement Systems.

proposed amendment was unconstitutional under the First Amendment.[308]

Supporters and opponents of the proposal provided a variety of suggested modifications to proposed Rule 14a-2(b)(9)(iii).[309] For example, some supporters recommended allowing registrants more time than the proposed two business days in which to provide their statement of response.[310] Others were in favor of requiring proxy voting advice businesses to include the full written statement of registrants in the proxy advice, rather than just a hyperlink.[311] Other commenters requested that the Commission clarify certain points, such as whether a proxy voting advice business would be subject to Rule 14a-9 liability for omissions of a registrant's response,[312] and whether it would be a violation of an investment adviser's fiduciary duty if it chose not to review a registrant's hyperlinked response.[313] Because of concerns that clients may not take the time to review registrants' hyperlinked statements, commenters also recommended that the Commission require proxy voting advice businesses to disable pre-populated voting mechanisms or the automatic submission of votes in instances where companies respond to a proxy voting advice business's adverse voting recommendation, along the lines of the alternative described in the Proposal.[314]

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[308] *See, e.g.,* letters from AFL-CIO II; CII IV; CIRCA; Elliott I; Glass Lewis II (characterizing the proposed requirement for a proxy voting advice business to publish a registrant's response to proxy voting advice in the form of a hyperlink as compelled speech and citing to legal precedent for the proposition that compelling a party to publish or otherwise provide access to speech with which the party may disagree violates the First Amendment); ISS ("Supreme Court precedent is clear that the government may not 'co-opt' a person's speech 'to deliver [a] message' from someone else."); New York Comptroller II. We discuss our response to certain Constitutional objections to the proposed amendments in Section II.C.3.d. *infra*.

[309] *See, e.g.,* letters from BIO; ExxonMobil; Nasdaq; CII IV; CFA Institute II; Hermes; ISS.

[310] *See, e.g.,* letter from BIO.

[311] *See, e.g.,* letters from BIO; NAM.

[312] *See* letters from BRT; ExxonMobil.

[313] *See* letter from Nasdaq.

[314] *See, e.g.,* letters from BIO ("Accordingly, [we] support measures that would increase the likelihood that the registrant's statement is taken into account, such as disabling the auto-submission of votes when a registrant has

Some commenters who objected to the proposal nevertheless recommended changes should the Commission adopt a response mechanism. Several such commenters encouraged the Commission to codify the view that a proxy voting advice business will not be held liable for the content of a registrant's response, whether provided as a hyperlink or included in the proxy statement in its entirety.[315] Additional suggestions included setting reasonable guidelines and limitations on the content of a registrant's response,[316] requiring that registrants provide their hyperlink to the proxy voting advice business before the end of the review period (not just request that it be included) to ensure that the hyperlink is provided in a timely manner,[317] requiring that the hyperlink be active when provided,[318] and permitting proxy voting advice businesses to require registrants to indemnify them for any loss or claim arising out of the hyperlinked content, its transmission, or use.[319]

3. Final Amendments

a. Overview

Based on commenter feedback, we are adopting amendments to Rule 14a-2(b) that we believe achieve the important objectives of the proposal but are modified in a number of respects to do so in a less prescriptive, more principles-based manner. We recognize the practical challenges faced by market participants—investors, registrants, investment advisers, proxy voting advice businesses, and others—to participate in, and fulfill their respective obligations in respect

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submitted a response, or disabling auto-submission unless the client accesses the registrant's response or otherwise confirms the pre-populated voting choices."); BRT; CGC; ExxonMobil (asserting that the failure to address automatic submissions would render the proposed rules ineffective, with "limited practical impact."); NAM; Nareit; SCC II.

[315] *See, e.g.,* letters from Baillie Gifford; CII IV; Glass Lewis II; ISS.

[316] *See, e.g.,* letter from Glass Lewis II.

[317] *Id.*

[318] *Id.*

[319] *Id.*

of, the proxy process. To varying extents, market participants must convey, assimilate, and give thoughtful consideration to relevant information from various parties on a potentially wide range of topics in what is generally viewed as a short time frame. In light of this, we believe a more principles-based approach is appropriate.

As reflected in the large number of public comments received, there is a wide range of opinions and competing views about the most effective way to ensure that market participants, including users of proxy voting advice, have access to adequate information when making their voting decisions. Although some commenters argued that there was insufficient evidence of inaccuracies or other problems with proxy voting advice to justify regulation, and asserted that clients of proxy voting advice businesses are satisfied with the quality of the advice they receive, the proposed amendments were not motivated solely by the Commission's interest in the factual accuracy of proxy voting advice. As we explained in the Proposing Release, even where proxy voting advice is not adverse to the registrant's recommendation or where there are no errors in the advice, facilitating investor access to enhanced discussion of proxy voting matters contributes to more informed proxy voting decisions.[320] Indeed, the principle that more complete and robust information and discussion leads to more informed investor decision-making, and therefore results in choices more closely aligned with investors' interests, has shaped our federal securities laws since their inception and is a principal factor in the Commission's adoption of these amendments. Regardless of the incidence of errors in proxy voting advice, we believe it is appropriate to adopt reasonable measures designed to promote the reliability and completeness of information available to investors and those acting on their behalf at the time they make voting determinations. In particular, we reiterate the far-reaching implications that proxy voting advice can have in the

[320] *See* Proposing Release at 66530.

market[321] and accordingly continue to believe that measured changes designed to facilitate more complete and robust dialogue and information sharing among proxy voting advice businesses, their clients, and registrants would improve the proxy voting system, and ultimately lead to more informed decision-making, to the benefit of all participants, including shareholders that do not use proxy voting advice and yet may be affected by the recommendations of proxy voting advice businesses. We also believe that such measured changes, while not an exact substitution, would more closely approximate the discussion that could occur at a meeting with physical attendance and participation by shareholders and other parties. We therefore believe that ensuring that registrants have timely notice of proxy voting advice and that proxy voting advice businesses provide clients with a mechanism by which they can reasonably be expected to become aware of any written response by registrants to that advice—in a timely manner—will increase confidence across participants in the proxy system that clients of proxy voting advice businesses, whether those clients are investors or are acting on behalf of investors, have timely access to transparent, accurate, and complete information material to their voting decisions.

The Commission is aware of the risk that introducing new rules into a complex system like proxy voting, which has evolved over many years in response to changes in the marketplace as well as the interests and needs of market participants, could inadvertently disrupt the system and impose unnecessary costs if not carefully calibrated. For example, we understand the timing pressures and logistical challenges faced by shareholders, investment advisers, registrants, and, as a result, proxy voting advice businesses and their clients, particularly during the peak of proxy season.[322] We also acknowledge the concerns expressed by a number of commenters that the

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[321] *See supra* notes 51-53 and accompanying text.

[322] *See* Proposing Release at 52, n. 134.

adoption of an overly prescriptive framework governing aspects of the proxy voting advice system could, depending on various facts and circumstances, impede the ability of proxy voting advice businesses to provide their clients with timely voting advice.[323] Ultimately, we are guided by the principle that informed decision-making by shareholders is the foundation on which the legitimacy of the proxy voting system rests[324] and believe that a well-functioning proxy system benefits from the ability of clients of proxy voting advice businesses to obtain more complete information on which to base their voting decisions.[325]

As noted above, some commenters asserted that certain existing mechanisms in the proxy system suffice to address the concerns raised in the Proposing Release and obviate the need for the proposed rules.[326] Those mechanisms include proxy voting advice businesses' existing programs and policies for registrants to provide feedback, "counter-speech" measures already available to registrants (*e.g.*, filing supplemental proxy materials), and antifraud liability under Rule 14a-9.[327] Contrary to the views of those commenters, however, we do not believe that those mechanisms, as currently implemented, suffice to achieve our goal of ensuring that clients of proxy voting advice

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[323] *See, e.g.,* letters from Baillie Gifford; Canadian Gov. Coal; CII IV; Glass Lewis II; ISS; Prof. Sergakis.

[324] *See supra* notes 2-5 and accompanying text.

[325] This is consistent with the Commission's views regarding steps an investment adviser could take when it retains a proxy voting advice business and it becomes aware of potential factual errors, potential incompleteness, or potential methodological weaknesses in the proxy voting advice business's analysis that may materially affect one or more of the investment adviser's voting determinations. *See* Commission Guidance on Proxy Voting Responsibilities at 21-22 ("In reviewing its use of a proxy advisory firm, an investment adviser should also consider the effectiveness of the proxy advisory firm's policies and procedures for obtaining current and accurate information relevant to matters included in its research and on which it makes voting recommendations … As part of this assessment, investment advisers should consider …[t]he proxy advisory firm's engagement with issuers, including the firm's process for ensuring that it has complete and accurate information about the issuer and each particular matter, and the firm's process, if any, for investment advisers to access the issuer's views about the firm's voting recommendations in a timely and efficient manner….").

[326] *See supra* notes 300-302 and accompanying text.

[327] *See, e.g.,* letters from AllianceBernstein; As You Sow II; Better Markets; Elliott I; ISS; Glass Lewis II; CalPERS; CII IV; New York Comptroller II; Segal Marco II; Seven Corners; Shareholder Rights II. *See also* IAC Recommendation.

businesses have timely access to a more complete mix of relevant information and exchange of views. Although it is encouraging that some proxy voting advice businesses have programs in place pursuant to which some registrants have the opportunity to review and provide feedback on or responses to proxy voting advice, those programs have not been universally adopted by proxy voting advice businesses and do not uniformly provide registrants (and their investors) with the same opportunities for (and benefits of) review, feedback, and response.[328]

As to "counter-speech" measures, under current market practices registrants are not systematically informed of proxy voting advice in a timely manner such that they can provide investors a response to such advice, let alone a response sufficiently in advance of the relevant meeting to allow investors to consider the response prior to casting their vote.[329] In addition, while the potential for liability under Rule 14a-9 helps to ensure that proxy voting advice is not materially false or misleading, it does not address the need for investors to have timely access to transparent, accurate, and complete information—including any written response by the registrant to the advice—that is material to their voting determinations.[330]

As we explained in the Proposing Release, under existing mechanisms, it can be difficult to ensure that those making voting decisions have timely access to materially complete

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[328] *See supra* notes 256-258 and accompanying text; Proposing Release at 66529-30 ("[S]ome proxy voting advice businesses do not provide registrants with an opportunity to review their reports containing voting advice in advance of distribution to their clients. Even those proxy voting advice businesses that provide such review opportunities do not provide all registrants with an advance copy of their reports containing their voting advice.").

[329] *See* Proposing Release at 66533 ("Although registrants are able, under the existing proxy rules, to file supplemental proxy materials to respond to negative proxy voting recommendations and to alert investors to any disagreements they have identified with a proxy voting advice business's voting advice, the efficacy of these responses may be limited, particularly given the high incidence of voting that takes place very shortly after a proxy voting advice business's voting advice is released to clients and before such supplemental proxy materials can be filed.").

[330] *Id.* at 66530 (noting that "[t]he registrant . . . may have disagreements that extend beyond the accuracy of the data used, such as differing views about the proxy advisor's methodological approach or other differences of opinion," the communication of which "could improve the overall mix of information available when the clients make their voting decisions").

information prior to voting.[331] Without notice of the proxy voting advice business's recommendations, registrants are often unable to provide a response prior to votes being cast. Also, given the high incidence of voting that takes place very shortly after a proxy voting advice business's advice is distributed to its clients, without a mechanism by which clients can reasonably be expected to become aware of any response in a timely manner (as they and other investors would if the discussion were taking place at a meeting where shareholders are physically attending and participating), votes may be cast on less complete information. Because proxy voting advice businesses have control over the timing of the dissemination of their proxy voting advice, we believe they are the best-positioned parties in the proxy system to both (1) make their proxy voting advice available to registrants and (2) provide clients with a mechanism by which they can reasonably be expected to become aware of a registrant's written response to their proxy voting advice in a timely manner.

Although we do not believe the existing voluntary forms of outreach to registrants and other market participants discussed above are alone sufficient, we have carefully considered the views of a number of commenters, including the two largest proxy voting advice businesses. Those commenters indicated that a more principles-based approach would be appropriate and one of whom specifically indicated that such an approach would achieve the Commission's goals while avoiding many of the complexities and practical concerns arising from the approach taken in the proposal.[332] We agree and are therefore adopting amendments that articulate a set of principles, distilled from the proposed rules, upon which a proxy voting advice business may design its own policies and procedures. We believe this approach will provide proxy voting

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[331] *Id.* at 66528-30.

[332] *See supra* notes 298-299 and accompanying text.